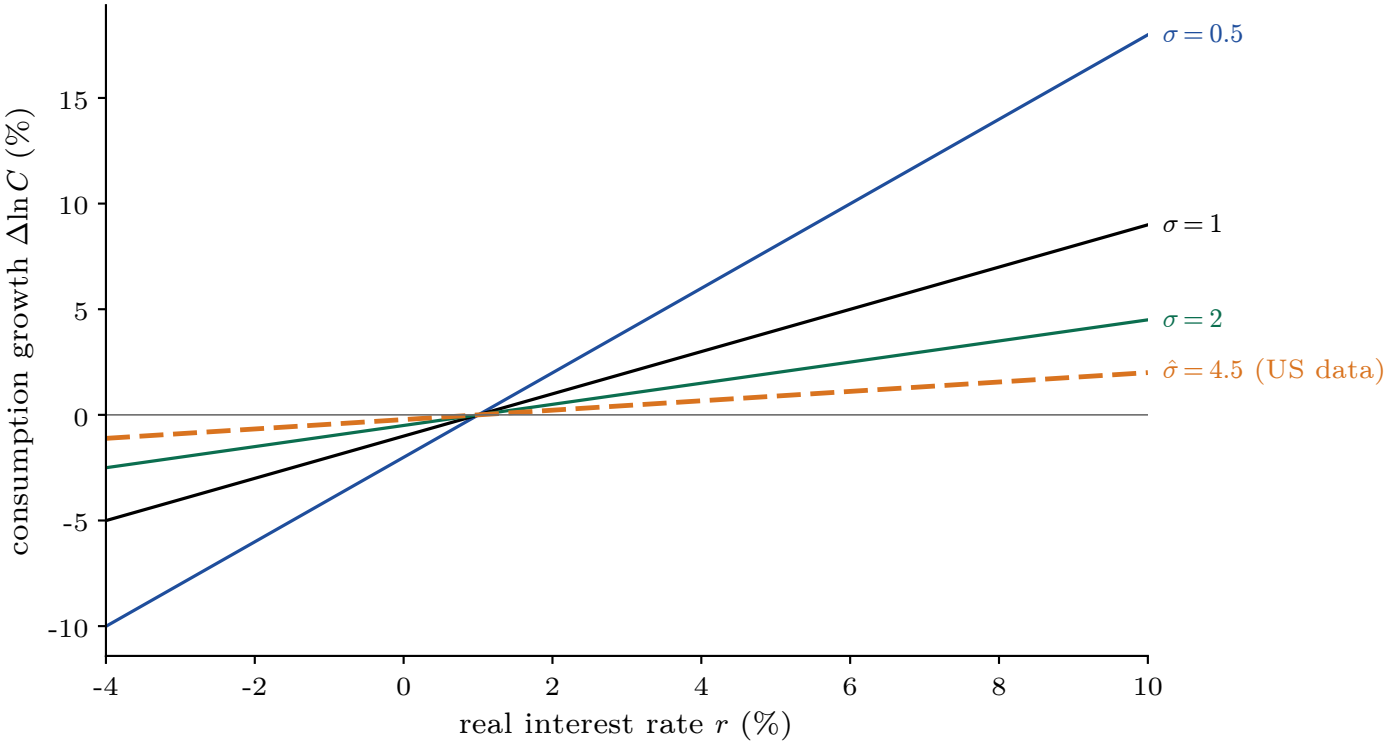

Fig. 5: CRRA Euler equation: $\Delta \ln C_{t+1} \approx \frac{1}{\sigma}(\ln \beta + r)$. The higher σ, the less consumption growth reacts to r.